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GMBA 5885 W03
Strategic Mgt Global Info Sys

Ethical and Social Issues in Information Systems

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Kick-Off Discussion

Scenario Examples

- You mention a product in real life — and suddenly Xiaohongshu starts recommending it.
- During Taobao's Double 11 Festival, a *limited-time coupon* pops up — but only for some users.
- On Amap Taxi (高德打车), the same trip costs different prices for different customers or at different time.

Discussion

- How do you feel about these situations — convenient, or invasive? fair, or manipulative?
- What ethical or social concerns do they raise? (e.g., privacy, algorithmic bias, data surveillance, dynamic pricing fairness)
- If you were a business manager or policy maker, how would you handle the trade-off between *data-driven personalization* and *consumer rights*?
- How should Chinese platforms balance innovation, profit, and digital ethics?

Learning Objective

- Describe IT/IS-related ethical, social, and political issues
- Describe principles for ethical conduct
- Discuss information rights and privacy issues
- Discuss intellectual property issues
- Discuss system quality issues
- Discuss accountability and control issues
- Discuss quality of life issues

IT/IS-related Ethical, Social, and Political Issues

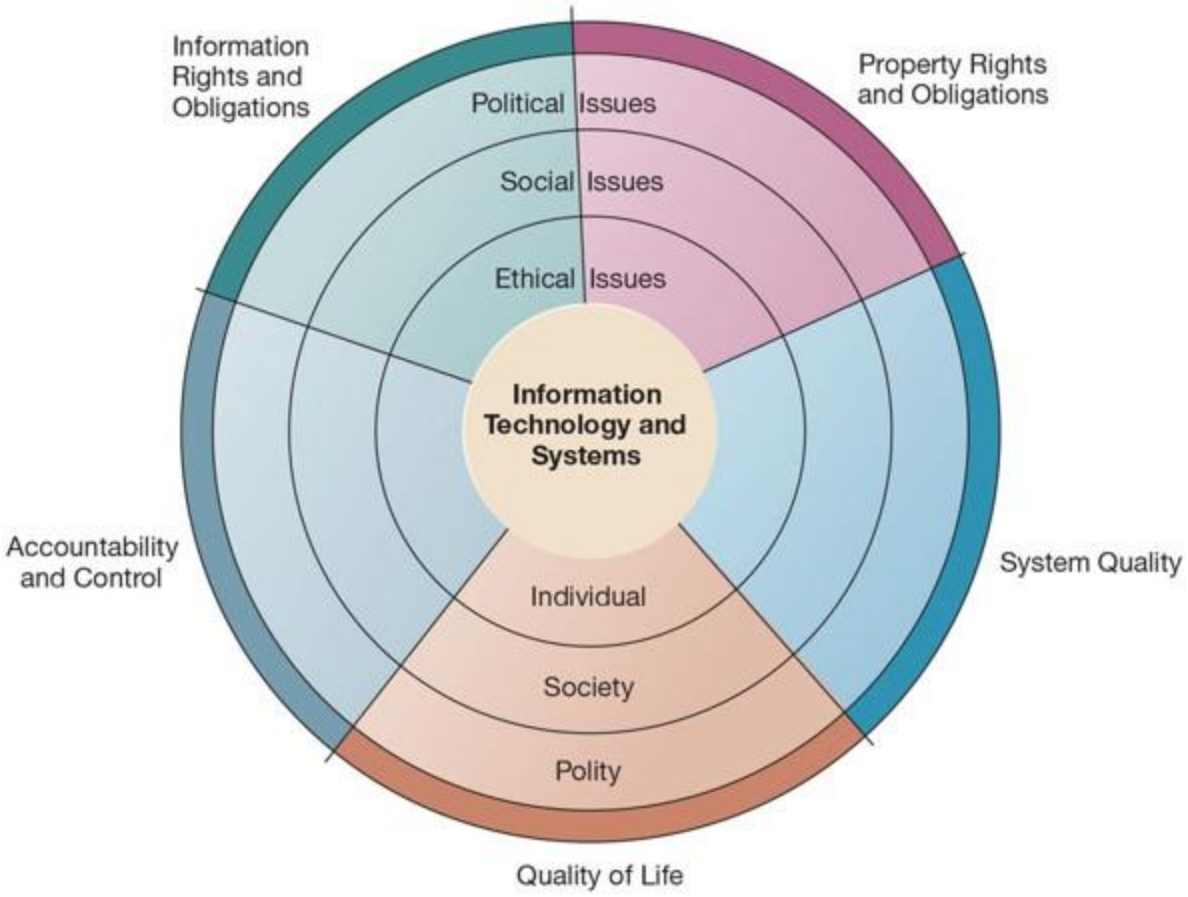
- Ethics
  - Principles of right and wrong that individuals, acting as free moral agents, use to make choices to guide their behaviors
- Information systems raise new ethical questions because they create opportunities for
  - intense social change
  - threatening existing distributions of **power**, **money**, **rights**, and **obligations**
  - crime, new kinds of crimes

Example of ethical lapses
Role of IT/IS

IT/IS-related Ethical, Social, and Political Issues

The Relationship Between Ethical, Social, and Political Issues in an Information Society

Five Moral Dimensions of the Information Age



Information Rights and Privacy

- Information Rights
  - Rights that individuals and organizations have with respect to the information that pertains to them
- Privacy
  - Claim of individuals to be left alone, free from surveillance or interference from other individuals, organizations, or state; claim to be able to control information about yourself

Privacy as a right? A commodity?
A state? Control?

Information Rights and Privacy

When firms collect user behavior (clicks, voice, GPS, browsing), who owns the data – the individual or the company?

Information Rights and Privacy

- Key Question
  - What information rights do individuals and organizations have, and how should they be protected?
- The European General Data Protection Regulation (GDPR)
  - Right to information or notice
  - Right to access
  - Right to data portability
  - Right to rectification or correction
  - Right to erasure or deletion
  - Right to be forgotten
  - Right to objection and restriction (or Opt Out)
  - Right to not be subject to automated decisions

实然 vs. 应然

Information Rights and Privacy

- Key Question
  - What information rights do individuals and organizations have, and how should they be protected?
- How to Protect
  - Privacy-preserving techniques: anonymization, differential privacy, secure multi-party computation
  - Transparency: what should be transparent, and in what form?
  - Example: privacy policies → privacy labels → cookie consent, privacy dark patterns
  - Behavioral perspective: do individuals truly care about privacy? privacy paradox

“很多时候中国人愿意用隐私交换便利性”

------李彦宏

Information Rights and Privacy

Challenges Posed By the Internet

- Cookies
  - Identify browser and track visits to site
- Web beacon (also called a web bug)
  - Tiny graphics embedded in e-mails and web pages
  - Monitor who is reading email message or visiting site
- Adware
  - Can secretly install itself on an Internet user’s computer by piggybacking on larger applications

Information Rights and Privacy

Challenges Posed By the Internet

- Spyware
  - A more malicious version of adware
  - Tracks the user's browsing habits
- Informed consent
  - Consent given with knowledge of all the facts needed to make a rational decision
  - Opt-out vs. opt-in model
    - Complex/ambiguous privacy statements
    - Opt-out models selected over opt-in
    - Online "seals" of privacy principles

Information Rights and Privacy

Challenges Posed By the Internet

- AI is the latest information technology that poses a threat to privacy.
- The development of more specifically focused AI tools on a firm-wide level raise concerns
  - Training in regard to sensitive data
  - Detailed profiles of individuals based on their online behavior
  - Collection of data for use by facial recognition systems

Quiz

This GDPR right allows an individual to ask an organization to delete their personal data when it is no longer necessary, when consent is withdrawn, or when the data was processed unlawfully. Which right is this?

A. Right of Access

B. Right to Rectification

C. Right to Erasure

D. Right to Data Portability

Intellectual Property

- Intellectual property
  - Tangible and intangible products of the mind created by individuals or corporations
- Protected in four main ways
  - Copyright
  - Patents
  - Trademarks
  - Trade secrets

Intellectual Property

Digital media is different from physical media

- Ease of replication
- Ease of transmission (networks, Internet)
- Ease of alteration
- Compactness
- Difficulties in establishing uniqueness

Intellectual Property

- Key Question
  - How will traditional intellectual property rights be protected in a digital society in which tracking and accounting for ownership are difficult while ignoring such property rights is so easy?
- Discussion – IP in the Age of Generative AI

1. Ownership of AI-Generated Content

  - Should AI-generated text, images, or code be protected by IP?
  - Who owns the output?
    - The user prompting it?
    - The AI provider?
    - No one (public domain)?

Intellectual Property

2. Training Data & Creator Rights

- AI models are trained on web-scraped images, articles, music, and code.
  - Should creators be compensated?
  - Should they be allowed to opt out?
- If AI can reproduce an artist’s style endlessly, does this undermine the artist’s economic rights?

Intellectual Property

3. Digital Copying & Attribution Challenges

- Digital works are easy to copy, remix, or generate at scale.
- AI outputs may blur “original” vs. “derivative.”
- Example: AI art “in the style of Monet” or “like Jay Chou.” Fair use or infringement?

Quiz

Which of the following protects the authors of a book from having their work copied by others?

A. Trademark laws

B. Trade secrets laws

C. Copyright law

D. Patent law

System Quality

- Key Question
  - What is an *acceptable* level of system quality — and who is responsible when systems fail?
- Core Dilemma
  - Perfect software is technologically impossible and economically infeasible.
  - Firms must decide *when to stop testing* and *release imperfect systems*.
- Ethical Questions
  - Should producers warn users of potential flaws?
  - Should flawed but useful systems still be launched?
  - Is “buyer beware” a fair stance for digital services?

System Quality

- Causes of Poor System Performance
  - Software bugs and coding errors
  - Hardware or facility failures (natural or technical)
  - Poor data quality (most common source)
- Discussion
  - AI recommendation systems (e.g., Douyin) amplify misinformation or unhealthy content — how should quality control be implemented?
  - What defines “high-quality data” — accuracy, completeness, timeliness, fairness, or transparency?
  - How might poor system quality threaten not just individual users, but society as a whole?

Quiz

Which of the following is the **most common** source of business system issues?

A. Facility catastrophes

B. Poor data quality

C. Software bugs

D. Hardware failures

Accountability and Control

- Key Question
  - Who can and will be held accountable and liable for the harm done to individual and collective rights?
- Discussion
  - A content-generation AI spreads misinformation or defamation — who owns the responsibility: the platform, the user, or the model creator?
  - How should accountability be divided among AI developers, data providers, business users, and regulators?
  - Should AI systems be treated as “tools” or as “actors” with partial autonomy?

Accountability and Control

- Software and Internet liability issues
  - Software can sometimes result in injury or economic loss
  - From a legal standpoint, it is a complicated issue
- AI liability issues
  - Most AI algorithms operate as a “black box”
  - Lack of transparency, makes it difficult to hold anyone accountable for incorrect output or decisions
  - Responsibility between AI developer and deployer

Quality of Life

- Negative social consequences of systems
- Big tech: Economic and political power concentrated in just a few companies
- Equity and access: Does everyone have equal opportunity to participate in the digital age?
  - The digital divide: disparity in access to computers and the Internet
  - The use of AI can also lead to increased levels of bias

Quality of Life

- Reengineering of work
  - Typically hailed in the information systems community as a major benefit of new information technology
  - Leaves millions of people out and unemployed
  - Impact of AI on labor market
- Rapidity of change: reduce response time to competition
- Family, work, and leisure boundaries

Quality of Life

Physical, Mental, and Cognitive Health Risks

- Repetitive stress injury (RSI) 重复性劳损
- Carpal tunnel syndrome (CTS) 腕管综合征
- Computer vision syndrome (CVS) 计算机视觉综合征

Quiz

Which of the following is the single largest source of RSI?

A. Computer keyboards

B. Smartphones

C. Computer mice

D. Computer monitors

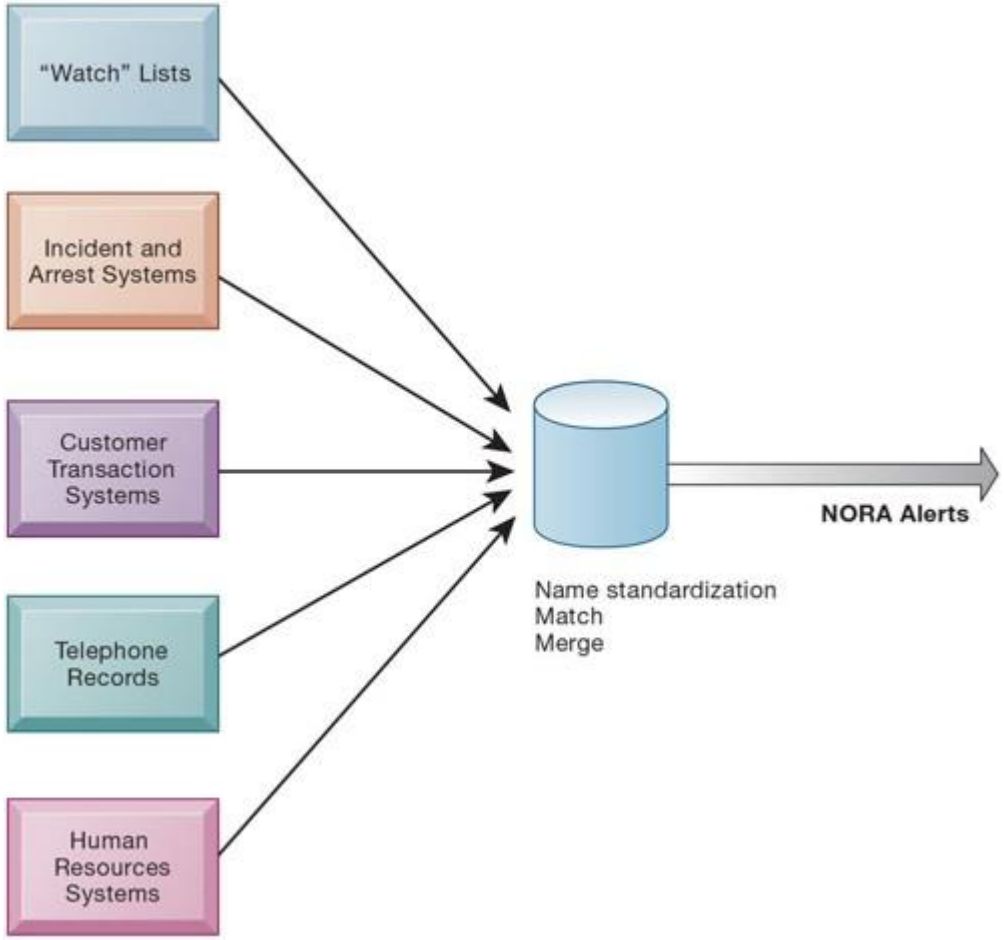
Quality of Life

- Key Question
  - What values should be preserved in an information- and knowledge-based society?
  - Which institutions should we protect from violation?
  - Which cultural values and practices does information technology support?
- Discussion
  - Education and learning: AI tools (e.g., ChatGPT) change how students learn — do they promote creativity or dependence?
  - Social media culture: Apps like Douyin and Weibo influence values, lifestyle, and body image — are they enriching society or creating anxiety and polarization?
  - Are we designing technologies that truly serve *well-being*, or merely *efficiency and profit*?

Key IT Trends That Raise Ethical Issues

- Ever-increasing rise in computing power
- Rapid decline of data storage costs
- Advances in data analysis
- Proliferation of mobile devices
- Artificial intelligence (AI)

Nonobvious Relationship Awareness (NORA)



Principles of Ethical Conduct

- Responsibility
  - Accepting the potential costs, duties, and obligations for decisions
- Accountability
  - Mechanisms for identifying responsible parties
- Liability
  - Permits individuals (and firms) to recover damages done to them
- Due process
  - Laws are well-known and understood, with an ability to appeal to higher authorities

Ethical Analysis

A brief example of an ethical dilemma

Five-step process for ethical analysis

1. Identify and describe the facts clearly
2. Define the conflict or dilemma and identify the higher-order values involved
3. Identify the stakeholders
4. Identify the options that you can reasonably take
5. Identify the potential consequences of your options

Ethical Principles

1. Golden Rule
   - Do unto others as you would have them do unto you
2. Immanuel Kant’s categorical imperative
   - If an action is not right for everyone to take, it is not right for anyone
3. Slippery slope rule
   - If an action cannot be taken repeatedly, it is not right to take at all

Ethical Principles

4. Utilitarian principle
   - Take the action that achieves the higher or greater value
5. Risk aversion principle
   - Take the action that produces the least harm or potential cost
6. Ethical no-free lunch rule
   - Assume that virtually all tangible and intangible objects are owned by someone unless there is a specific declaration otherwise

Real-World Ethical Dilemmas

- One set of interests pitted against another
- Examples
  - Many companies use voice recognition software to reduce the size of their customer support staff by enabling computers to recognize a customer's responses to a series of automated questions.
  - Many companies monitor what their employees are doing on the Internet to prevent them from wasting company resources on nonbusiness activities.

Quiz

Which ethical rule states that if an action cannot be taken repeatedly, it is not right to take at all?

A. The risk aversion rule

B. The slippery slope rule

C. The utilitarian principle

D. The Golden Rule

Summary

- IT/IS Ethical, Social, and Political Issues
  - How digital technologies create new risks, power shifts, and social challenges.
- Five Moral Dimensions of the Information Age
  - Information Rights & Privacy
  - Intellectual Property & Obligation
  - System Quality
  - Accountability & Control
  - Quality of Life
- Ethical Principles
  - Golden rule, Immanuel Kant’s categorical imperative, slippery slope rule, utilitarian principle, risk aversion principle, ethical no-free-lunch rule
- Ethical Analysis

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